

ORIGINAL

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(FEBRUARY 8, 1991)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

February 8, 1991

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

PROCEDURAL ORDER

MOTION FOR PROTECTIVE ORDER DENIED

On January 30, 1991, the Respondent, Sea-Land Service, Inc. ("Sea-Land"), filed a Motion for Protective Order, "protecting Sea-Land from the notices of deposition directed to Sea-Land employees Craig Wallace, Clinton Monroe, Lu Burton, Ron Harryman, David Arsenault, Richard Findlay and Steve Newsom" Sea-Land argues in support of the motion that:

¹The date for deposition for Clinton Monroe and Ron Harryman was January 21, 1991, for Lu Burton it was January 22, 1991, for Steve Newsom it was January 23, 1991, for Craig Wallace it was January 24, 1991, for David Arsenault it was February 4, 1991, and for Richard Findlay it was February 5, 1991.

(1) The Federal Maritime Commission does not have jurisdiction.²

(2) The depositions would be unduly broad in their scope.

As to the jurisdictional argument Sea-Land cites the holding in *Puerto Rico Maritime Shipping Authority and PRMMI Trucking, Inc. - Petition for Declaratory Order*, _____ I.C.C. _____, Docket No. MC-C-30168 (decided November 9, 1990, and served November 20, 1990). As to the scope of the depositions it submits no legal authority.

On February 6, 1991, the Complainants filed a Reply in Opposition to the Motion for Protective Order. In it they assert that, "A jurisdictional challenge at this stage of the proceeding is simply inappropriate," citing *Endicott Johnson Corp. v. Perkins*, 317 U.S. 501, 509 (1943), and *Federal Maritime Commission v. Port of Seattle*, 521 F.2d 431 (9th Cir., 1975). As to the scope of the depositions Complainants cite a series of cases for the proposition that "Sea-Land may not quash an otherwise valid discovery request with only a general intonement of the 'familiar litany' that the discovery request is 'overly broad, burdensome, oppressive and irrelevant.'"

At the outset it should be noted that prior to the filing of the Motion for Protective Order the parties and the undersigned were aware that Sea-Land was not going to allow the witnesses to appear in response to the subpoena. That position is based solely on the argument that the FMC lacks jurisdiction, and not on the scope or alleged overbreadth of the subpoenas. Indeed, the undersigned offered to and still offers to be present at the deposition so as to be able to immediately rule on questions relating to scope. Even if he were not available to do so questions involving scope would not be any reason for the

²The same argument was made in Sea-Land's Motion to Quash Subpoena Duces Tecum Addressed to John J. McGonegle, Dennis Haselton, and Sea-Land Motor Freight (all non-parties), which Motion was denied by Procedural Order served January 30, 1991.

failure of the witnesses to even appear. In essence then, Sea-Land's Motion for Protective Order is based on the issue of jurisdiction.

Despite the above, Sea-Land states:

... Sea-Land respectfully requests that the presiding officer issue a protective order vacating each of the Deposition Notices attached hereto or limiting the scope of the deposition notices to those issues that directly relate to the requirements of the January 15, 1991 Procedural Order if that Order is upheld by the full Commission.

Of course, Sea-Land's request for vacating "each of the Deposition Notices" is at least partly frivolous because, as has been noted, all but two of the parties had failed to appear in answer to the notices well before Sea-Land's Motion was even filed. The appearance of the other two was so imminent (within four or five days of the filing of the Motion, which time included a weekend) it allowed no time for the receipt and consideration of the Complainants' Reply.

As to Sea-Land's request to limit "the scope of the deposition notices to those issues that directly relate to the requirements of the January 15, 1991 Procedural Order if that Order is upheld by the full Commission" (emphasis supplied), the following needs to be clarified. At the time the Motion for Protective Order was filed there was no motion for leave to appeal the ruling to the Commission.³ To condition the Administrative Law Judge's ruling on this Motion on the full Commission's upholding of the January 15, 1991, Procedural Order is both presumptuous and unrealistic. There is no reason to burden the Commission at this time with consideration of the January 15, 1991, Procedural Order on the question of scope when the undersigned has indicated a willingness to appear at each

³Sea-Land filed such a motion on February 1, 1991.

of the depositions and where it is clear that deposed parties will not be allowed to appear because of the jurisdictional question. Further, in the opinion of the undersigned, the January 15, 1991, Procedural Order is quite clear on its face. It clearly seeks information as to how certain described shipments moved, clearly intends to allow broad examination in that regard and does not limit inquiry only to matters "directly" related to its requirements as Sea-Land asserts. Further, the allegation that the facts to be addressed under the January 15, 1991, Procedural order are related only to Sea-Land's latest jurisdictional Motion to Dismiss is also wrong. Facts indicating precisely how the shipments moved not only relate to the Motion to Dismiss but also to the merits of the issues raised and even if the Motion to Dismiss were predicated on a narrow legal issue, as Sea-Land now suggests, discovery of those facts would and should not be delayed pending a ruling on such a motion.

Finally, it should be noted that the Complainants have given Notice of Intention to Seek Judicial Enforcement of certain subpoenas which they contend relate to compliance with the January 15, 1991, Procedural Order. As has been noted, the undersigned has already denied the Motion to Quash filed on behalf of non-party witnesses, which Motion, like Sea-Land's Motion to Dismiss, was based on the assertion that the FMC is without jurisdiction. It also should be noted that Sea-Land's Motion to Dismiss this proceeding on jurisdictional grounds and for leave to appeal any adverse judgment to the Commission is still pending. It will be decided as expeditiously as possible.

Wherefore, in light of the above, and after consideration of the entire record, it is hereby,

ORDERED, that Sea-Land's Motion for Protective Order is denied. Further, the parties are directed to comply with the Procedural Order of January 15, 1991.



Joseph N. Ingolia
Administrative Law Judge